MEMORANDUM

TO:	Sarah Chen, Chief Information Officer
FROM:	James Morrison, VP Infrastructure Engineering
DATE:	October 18, 2024
RE:	Data Center Lease Agreement Summary and Analysis — Consolidation Review
CC:	David Park (CFO), Linda Torres (General Counsel), Michael Okafor (Facilities)

1. Purpose and Background

This memorandum provides a detailed analysis of the existing lease agreements governing Meridian Financial Services' two data center facilities. The analysis has been prepared in anticipation of the proposed consolidation initiative, which contemplates migrating workloads from both owned facilities to a hybrid colocation and cloud infrastructure model. Understanding our current contractual obligations is essential for developing a realistic migration timeline and identifying potential financial exposure associated with early termination or non-renewal of existing leases.

Meridian currently operates Facility A, located at 123 Industrial Parkway, Newark, NJ 07102, under a lease with DataVault Properties LLC, and Facility B, located at 550 Commerce Drive, Building C, Stamford, CT 06902, under a lease with Metro Data Centers Inc. Together, these facilities house 1,166 physical servers across 110 cabinets supporting 847 virtual machines running the full production, disaster recovery, and development/test workload portfolio.

2. Facility A Lease Summary — DataVault Properties LLC

2.1 Property and Term

The Facility A lease was executed on March 1, 2017, for an initial term of ten (10) years, expiring on February 28, 2027. The lease provides for two successive five-year renewal options, exercisable at the sole discretion of Meridian, subject to providing written notice of renewal not fewer than one hundred eighty (180) days prior to the expiration of the then-current term. The property consists of a purpose-built data center comprising 45,000 square feet of raised-floor data hall space and 12,000 square feet of ancillary office, staging, and loading dock areas, totaling 57,000 square feet of net leasable area.

Parameter	Detail
Landlord	DataVault Properties LLC (a subsidiary of Meridian Realty Holdings)
Property Address	123 Industrial Parkway, Newark, NJ 07102
Lease Commencement	March 1, 2017
Lease Expiration	February 28, 2027
Data Hall Space	45,000 sq ft (raised floor, 36-inch plenum)
Office/Staging Space	12,000 sq ft (standard commercial finish)
Total Leasable Area	57,000 sq ft
Renewal Options	Two (2) successive 5-year terms at fair market value, 5% cap
Notice Period	180 days prior to expiration for renewal; 90 days for non-renewal
Building Classification	Tier III equivalent (concurrent maintainability)

2.2 Financial Terms

Base monthly rent for Facility A is $95,800 as of January 2024, subject to an annual escalation of 3.5% applied on each anniversary of the lease commencement date. The escalation rate was negotiated down from the landlord's initial proposal of 4.0% during the 2017 lease execution. Operating expenses are structured as a modified gross lease, with Meridian responsible for electrical utility costs, IT equipment maintenance, and HVAC operations within the data halls. DataVault is responsible for structural maintenance, common area upkeep, and building insurance.

Power allocation under the lease is 2.5 megawatts (MW) of utility capacity, metered at the demarcation point between DataVault's electrical distribution and Meridian's PDU infrastructure. The contracted rate is $0.11 per kilowatt-hour (kWh), inclusive of a minimum draw commitment of 1.8 MW. Current average utilization is 2.18 MW (87.2% of capacity), with peak draws reaching 2.41 MW during quarterly batch processing windows.

2.3 Maintenance and Repair Obligations

Tenant-responsible items include all IT equipment (servers, networking, storage), in-row and overhead cooling units within the data halls, raised floor tiles and grommets, fire suppression system testing and recharging (FM-200 zones), and cable plant management. DataVault retains responsibility for chilled water plant operation, building envelope maintenance, structural elements, roofing systems, and common-area electrical distribution up to the floor PDU panels.

Meridian has invested approximately $1,385,000 in tenant improvements since lease commencement. The original tenant improvement (TI) allowance of $1,200,000 was provided by DataVault and is being amortized on a straight-line basis over the 10-year initial term. As of September 2024, the unamortized TI balance stands at $480,000, representing a potential early termination liability if the lease is not fulfilled through its natural expiration.

2.4 Insurance Requirements

Coverage Type	Minimum Amount	Current Policy	Carrier	Renewal Date
General Liability	$10,000,000	$12,000,000	Hartford Financial	March 15, 2025
Property Insurance	$5,000,000	$7,500,000	Chubb Ltd.	March 15, 2025
Cyber Liability	$2,000,000	$5,000,000	AIG CyberEdge	June 1, 2025
Business Interruption	$3,000,000	$3,000,000	Hartford Financial	March 15, 2025
Workers Compensation	Statutory minimum	$1,000,000 per occurrence	State Fund	January 1, 2025
Environmental Liability	$1,000,000	$2,000,000	Zurich Environmental	September 1, 2025

3. Facility B Lease Summary — Metro Data Centers Inc.

3.1 Property and Term

The Facility B lease was executed on June 1, 2019, for an initial term of seven (7) years, expiring on May 31, 2026. The lease includes a single three-year renewal option, exercisable upon one hundred twenty (120) days' written notice prior to expiration. The property consists of 22,500 square feet of data hall space and 6,200 square feet of office and support areas, totaling 28,700 square feet. The approaching expiration date of May 2026 creates particular urgency for the consolidation planning timeline, as non-renewal notice must be delivered by January 31, 2026.

Parameter	Detail
Landlord	Metro Data Centers Inc.
Property Address	550 Commerce Drive, Building C, Stamford, CT 06902
Lease Commencement	June 1, 2019
Lease Expiration	May 31, 2026
Data Hall Space	22,500 sq ft (raised floor, 30-inch plenum)
Office/Support Space	6,200 sq ft
Total Leasable Area	28,700 sq ft
Renewal Option	One (1) 3-year term at 4% above expiring base rate
Notice Period	120 days prior to expiration for renewal or non-renewal
Building Classification	Tier II (redundant capacity components)

3.2 Financial Terms

Base monthly rent for Facility B is $62,500 as of January 2024, escalating at 4.0% annually. The higher escalation rate compared to Facility A reflects the newer lease vintage and the Stamford commercial real estate market premium. Power capacity is 1.5 MW at a rate of $0.125 per kWh, with current utilization averaging 1.12 MW (74.7% of allocated capacity). Unlike Facility A, the Facility B lease does not include a tenant improvement allowance, as the space was delivered in turnkey condition with pre-installed raised flooring, fire suppression, and cooling infrastructure.

4. Comparative Analysis

Parameter	Facility A (Newark)	Facility B (Stamford)
Landlord	DataVault Properties LLC	Metro Data Centers Inc.
Lease Term	10 years (Mar 2017 — Feb 2027)	7 years (Jun 2019 — May 2026)
Total Space (sq ft)	57,000	28,700
Data Hall (sq ft)	45,000	22,500
Monthly Base Rent	$95,800	$62,500
Annual Escalation	3.5%	4.0%
Cost per sq ft (annual)	$20.16	$26.13
Power Capacity	2.5 MW	1.5 MW
Power Rate ($/kWh)	$0.110	$0.125
TI Allowance	$1,200,000 ($480K remaining)	None (turnkey delivery)
Insurance Minimum	$10M GL / $5M Property / $2M Cyber	$5M GL / $3M Property / $1M Cyber
Renewal Options	Two 5-year terms	One 3-year term
Early Termination	6 months rent + unamortized TI	9 months rent (no TI)
Operating Hours	24/7/365 unrestricted access	24/7/365 with 48-hr visitor notice
Parking Allocation	45 spaces (15 reserved)	20 spaces (8 reserved)
Building Tier	Tier III equivalent	Tier II

5. Renewal and Termination Analysis

5.1 Facility A Renewal

Renewal of the Facility A lease requires written notice delivered no fewer than 180 days before the February 28, 2027, expiration date (i.e., by August 31, 2026). If renewal is exercised, the new base rent will be established at the then-prevailing fair market rate for comparable data center space in the Newark/Northern NJ market, subject to a cap of 5% above the expiring base rate. Based on current market conditions and recent lease comparables from CBRE and JLL broker reports, we estimate the renewal rate at approximately $21.50 to $23.00 per square foot annually, representing a 6.7% to 14.1% increase over the current effective rate.

5.2 Facility B Renewal

Facility B's lease expires on May 31, 2026, with a 120-day notice requirement, making the decision deadline January 31, 2026. The single three-year renewal option fixes the renewal rate at 4% above the final year's base rate, which is more predictable but potentially more expensive than Facility A's market-rate approach. If the consolidation timeline extends beyond May 2026, Meridian will need to either exercise this renewal or negotiate a short-term holdover arrangement. Holdover provisions in the existing lease specify rent at 150% of the then-current base rate, making a holdover scenario financially punitive.

5.3 Early Termination Provisions

Facility A early termination requires payment of six (6) months of base rent plus the full unamortized balance of the tenant improvement allowance. At current rates, this exposure totals approximately $1,054,800 (6 × $95,800 + $480,000). This amount declines as the TI amortization continues, dropping to approximately $574,800 if termination occurs at the 24-month mark (December 2025). Facility B early termination is structured as nine (9) months of base rent with no TI component, totaling $562,500 at current rates. There is no declining scale for Facility B — the penalty remains fixed regardless of when termination occurs.

6. Financial Obligations — 36-Month Projection

Month	A Rent	A Power	A Maint	A Total	B Rent	B Power	B Maint	B Total	Combined
M1	$95,800	$27,500	$12,300	$135,600	$62,500	$18,700	$8,100	$89,300	$224,900
M2	$95,800	$27,650	$12,300	$135,750	$62,500	$18,800	$8,100	$89,400	$225,150
M3	$95,800	$27,800	$12,300	$135,900	$62,500	$18,900	$8,100	$89,500	$225,400
M4	$95,800	$27,950	$12,300	$136,050	$62,500	$19,000	$8,100	$89,600	$225,650
M5	$95,800	$28,100	$12,300	$136,200	$62,500	$19,100	$8,100	$89,700	$225,900
M6	$95,800	$28,250	$12,300	$136,350	$62,500	$19,200	$8,100	$89,800	$226,150
M7	$95,800	$28,400	$12,300	$136,500	$62,500	$19,300	$8,100	$89,900	$226,400
M8	$95,800	$28,550	$12,300	$136,650	$62,500	$19,400	$8,100	$90,000	$226,650
M9	$95,800	$28,700	$12,300	$136,800	$62,500	$19,500	$8,100	$90,100	$226,900
M10	$95,800	$28,850	$12,300	$136,950	$62,500	$19,600	$8,100	$90,200	$227,150
M11	$95,800	$29,000	$12,300	$137,100	$62,500	$19,700	$8,100	$90,300	$227,400
M12	$95,800	$29,150	$12,300	$137,250	$62,500	$19,800	$8,100	$90,400	$227,650
M13	$99,153	$29,300	$12,300	$140,753	$65,000	$19,900	$8,100	$93,000	$233,753
M14	$99,153	$29,450	$12,300	$140,903	$65,000	$20,000	$8,100	$93,100	$234,003
M15	$99,153	$29,600	$12,300	$141,053	$65,000	$20,100	$8,100	$93,200	$234,253
M16	$99,153	$29,750	$12,300	$141,203	$65,000	$20,200	$8,100	$93,300	$234,503
M17	$99,153	$29,900	$12,300	$141,353	$65,000	$20,300	$8,100	$93,400	$234,753
M18	$99,153	$30,050	$12,300	$141,503	$65,000	$20,400	$8,100	$93,500	$235,003
M19	$99,153	$30,200	$12,300	$141,653	$65,000	$20,500	$8,100	$93,600	$235,253
M20	$99,153	$30,350	$12,300	$141,803	$65,000	$20,600	$8,100	$93,700	$235,503
M21	$99,153	$30,500	$12,300	$141,953	$65,000	$20,700	$8,100	$93,800	$235,753
M22	$99,153	$30,650	$12,300	$142,103	$65,000	$20,800	$8,100	$93,900	$236,003
M23	$99,153	$30,800	$12,300	$142,253	$65,000	$20,900	$8,100	$94,000	$236,253
M24	$99,153	$30,950	$12,300	$142,403	$65,000	$21,000	$8,100	$94,100	$236,503

7. Tenant Improvement and Capital Expenditure History

Date	Description	Cost	Amort. Period	Remaining Balance
Apr 2017	Raised floor installation and seismic bracing — all data halls	$340,000	120 months	$136,000
Aug 2017	FM-200 fire suppression system installation — Zone A through D	$128,000	120 months	$51,200
Jan 2018	Primary UPS battery bank replacement (Eaton 9395P, 750kVA)	$185,000	84 months	$22,024
Jun 2018	Cooling tower rebuild — condenser coils, fill media, VFD upgrades	$275,000	120 months	$137,500
Mar 2019	Building Management System (BMS) integration — Schneider EcoStruxure	$67,000	84 months	$19,143
Sep 2019	Physical security upgrade — biometric readers, mantrap, CCTV	$94,000	84 months	$33,571
Feb 2020	Structured cabling plant — Cat6A and single-mode fiber backbone	$156,000	120 months	$85,800
Nov 2020	Generator #2 overhaul — injector service, turbo rebuild, load bank test	$92,000	60 months	$15,333
Jul 2021	DCIM platform deployment — Nlyte Software v7.5 enterprise license	$48,000	60 months	$16,000
Jan 2022	Hot aisle containment retrofit — Rows A1 through A12	$118,000	84 months	$59,000
Aug 2022	Emergency generator fuel polishing system — dual filtration	$34,000	60 months	$17,000
Mar 2023	Electrical switchgear modernization — ATS-A-02 replacement	$162,000	120 months	$135,000
Oct 2023	Network demarcation room expansion — fiber meet-me room B	$78,000	84 months	$65,000
Apr 2024	Leak detection sensor grid — under-floor sensor network, 200+ sensors	$41,000	60 months	$37,600

Total capital expenditure since lease commencement: $1,818,000. Estimated unamortized balance as of Q4 2024: approximately $830,171. Note that unamortized tenant improvement allowance ($480,000) is a subset of this total and represents the contractual early termination liability.

8. Compliance and Regulatory Requirements

Both lease agreements impose specific compliance obligations on Meridian as tenant. Facility A requires quarterly fire suppression system testing with results reported to the landlord and the Newark Fire Marshal within 30 days. Annual electrical safety inspections must be conducted by a licensed electrical contractor and certificates of compliance filed with DataVault. Environmental compliance obligations include maintaining Spill Prevention, Control, and Countermeasure (SPCC) plans for diesel fuel storage (generator fuel tanks) and refrigerant tracking for HVAC systems under EPA Section 608.

Facility B's compliance requirements are less extensive due to the newer building infrastructure and Metro Data Centers' assumption of most building-level compliance obligations. Tenant-specific requirements include maintaining current insurance certificates on file, conducting semi-annual emergency evacuation drills coordinated with building management, and providing 30-day advance notice of any modifications to electrical distribution or cooling systems.

9. Insurance and Indemnification

Both leases contain mutual indemnification provisions with carve-outs for gross negligence and willful misconduct. Facility A's lease additionally requires Meridian to indemnify DataVault against environmental contamination claims arising from Meridian's operations, including battery acid spills, diesel fuel releases, and refrigerant leaks. Insurance policy renewals are staggered, with the primary General Liability and Property policies renewing in March and the Cyber Liability policy renewing in June.

10. Key Dates and Critical Deadlines

Date	Event	Action Required
Jan 31, 2025	Facility A insurance renewal deadline	Submit renewal certificates to DataVault Property Mgmt
Mar 15, 2025	GL and Property policy renewal	Verify coverage meets lease minimums, update named insured
Apr 30, 2025	Facility A Q2 fire suppression test	Schedule FM-200 inspection, file results within 30 days
Jun 1, 2025	Cyber liability policy renewal	Review coverage limits against regulatory requirements
Jul 15, 2025	Facility B annual electrical inspection	Coordinate with Metro DC building management
Aug 31, 2025	Facility A annual escalation effective	Verify rent adjustment in AP system (3.5% increase)
Sep 1, 2025	Environmental liability renewal	Update SPCC plan, submit to Zurich underwriter
Oct 31, 2025	Facility A Q4 fire suppression test	Schedule FM-200 and sprinkler wet test
Nov 30, 2025	Facility B mid-term lease review	Internal assessment of renewal vs. migration readiness
Dec 15, 2025	Budget planning deadline for FY2026	Incorporate lease obligations into operating budget
Jan 31, 2026	Facility B non-renewal notice deadline	CRITICAL: Deliver written notice to Metro DC if not renewing
Mar 1, 2026	Facility A annual escalation effective	3.5% rent increase takes effect
May 31, 2026	Facility B lease expiration	Complete migration of all Stamford workloads or execute renewal
Jun 1, 2026	Facility B holdover period begins (if applicable)	Rent increases to 150% of base rate
Aug 31, 2026	Facility A renewal notice deadline	Deliver notice of intent to renew or non-renew
Feb 28, 2027	Facility A lease expiration	Complete migration of all Newark workloads or begin renewal term

11. Lease Amendment History

11.1 Facility A Amendments

Amendment	Date	Description	Financial Impact
Amendment 1	Sep 2017	Addition of generator pad and fuel storage easement on north lot	+$2,400/month site fee
Amendment 2	Mar 2018	Expansion of demarcation room to accommodate carrier meet-me point	+$1,800/month for 400 sq ft
Amendment 3	Nov 2018	Modification of operating hours clause to include 24/7 loading dock access	No financial impact
Amendment 4	Jul 2019	Right to install rooftop satellite dish (2.4m Ku-band) for DR uplink	+$600/month antenna lease
Amendment 5	Feb 2020	Consent to sublease 3,000 sq ft of staging area to subsidiary entity	No direct impact; sublease revenue retained by Meridian
Amendment 6	Aug 2021	Power capacity increase from 2.0 MW to 2.5 MW with transformer upgrade	+$8,200/month minimum draw increase
Amendment 7	Jan 2023	Lease extension of loading dock hours and addition of overnight security patrol	+$1,200/month security surcharge

11.2 Facility B Amendments

Amendment	Date	Description	Financial Impact
Amendment 1	Jan 2020	Modification of visitor access policy to permit 24-hour escorted access	No financial impact
Amendment 2	Jun 2020	Addition of secondary fiber entrance conduit through west riser	+$800/month conduit lease
Amendment 3	Mar 2021	Consent for installation of supplemental CRAC unit in Row B3	No rent impact; tenant-funded ($48,000)
Amendment 4	Nov 2022	Extension of parking allocation from 15 to 20 spaces including 8 reserved	+$500/month parking fee

12. Recommended Actions

Based on the analysis presented in this memorandum, the following actions are recommended:

1. Engage General Counsel to review early termination provisions and quantify maximum financial exposure under both leases, including holdover scenarios and unamortized TI clawback.

2. Initiate preliminary discussions with DataVault Properties regarding a potential negotiated early termination or lease modification that aligns with the consolidation timeline, targeting a Q3 2026 exit.

3. Deliver formal non-renewal notice to Metro Data Centers by January 31, 2026, assuming the consolidation timeline remains on track for completion of Stamford workload migration by April 2026.

4. Engage a commercial real estate broker to establish current market comparables for data center space in the Newark and Stamford markets, supporting renewal negotiation positioning for Facility A if migration delays occur.

5. Review and update insurance policies to ensure adequate coverage during the migration period, particularly the Business Interruption policy, which should reflect the transitional risk profile.

6. Coordinate with the Finance department to model the cash flow impact of early termination penalties versus continued lease payments through natural expiration under various migration timeline scenarios.

7. Establish a critical-dates tracking mechanism to ensure that renewal notice deadlines, insurance renewals, and compliance obligations are not missed during the migration period.

8. Assess the feasibility of subleasing a portion of Facility A during the wind-down period to offset holding costs while migration waves are in progress.

Exhibit 1: Monthly Lease Cost Projection

Projected monthly lease costs for both facilities over a 24-month horizon, incorporating contractual annual escalation rates. The Facility B expiration date in May 2026 creates urgency for the migration timeline.

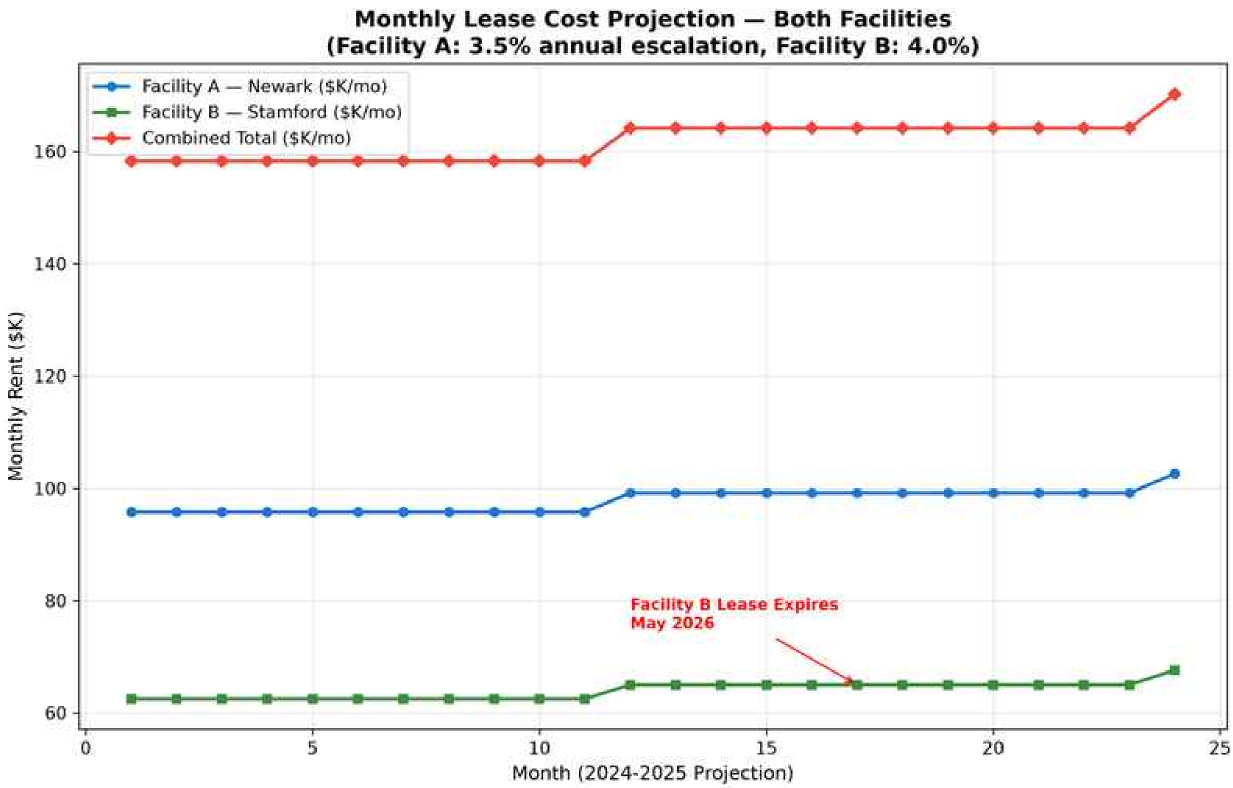

Exhibit 2: Current Cost Breakdown by Category

Side-by-side monthly cost breakdown for both facilities showing the relative contribution of base rent, power, maintenance, insurance, and miscellaneous costs to total occupancy expense.

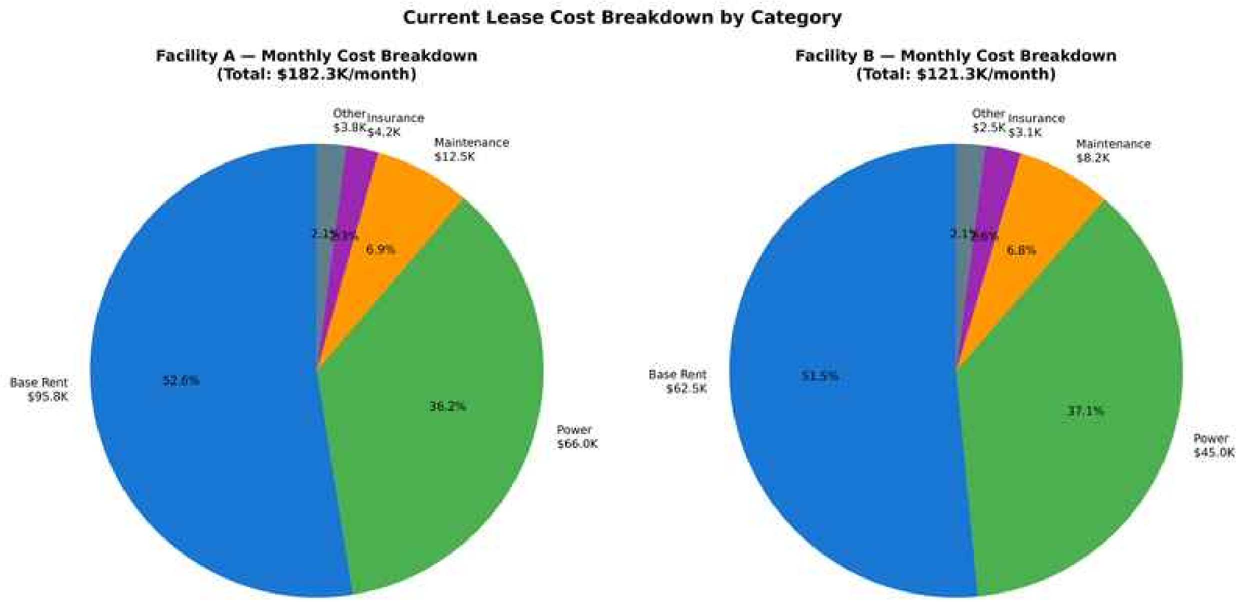

Exhibit 3: Exit Cost Analysis

Comprehensive early termination cost analysis for both facilities, including contractual penalties, unamortized tenant improvement balances, remaining lease obligations, and refundable security deposits.

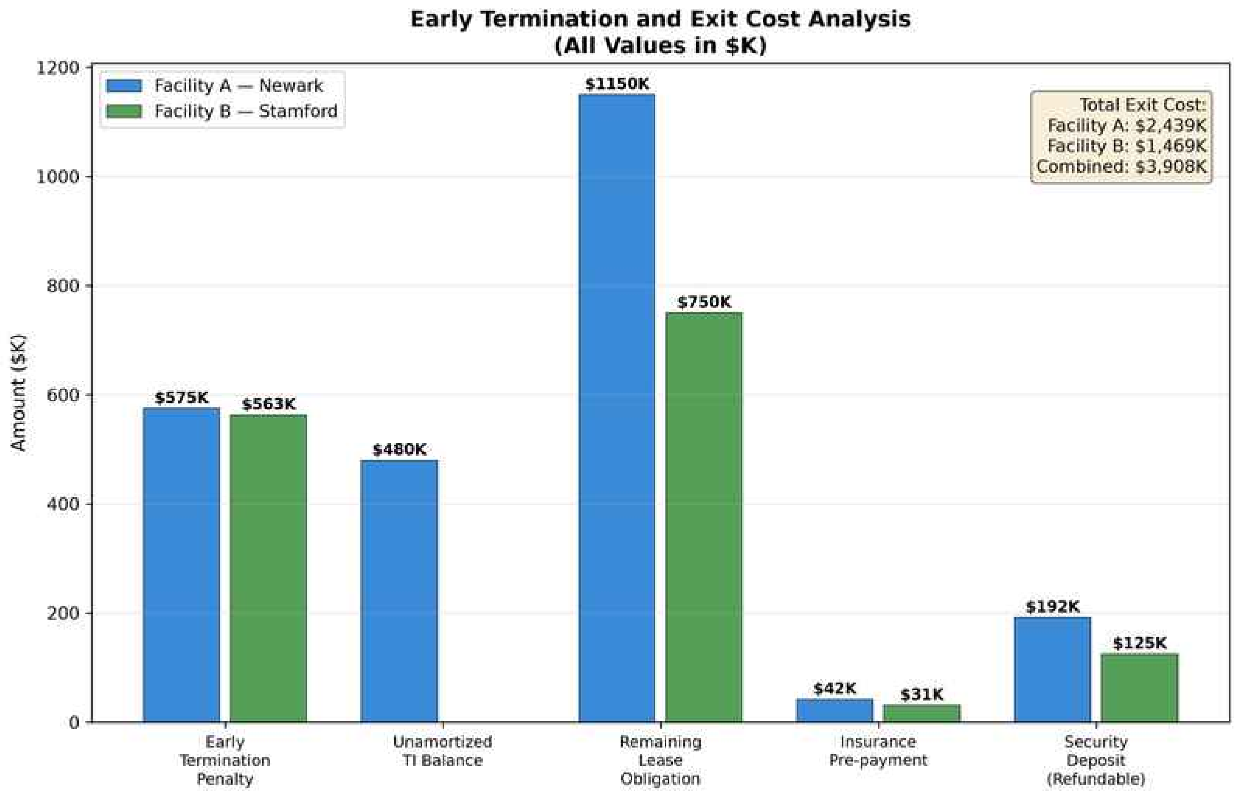

Exhibit 4: Historical Capital Expenditure

Capital expenditure history for both facilities from 2017 through 2024, encompassing IT infrastructure investments, tenant improvement (TI) costs, and building systems upgrades. Facility A's 2017 figure includes the original $1.2M TI allowance.

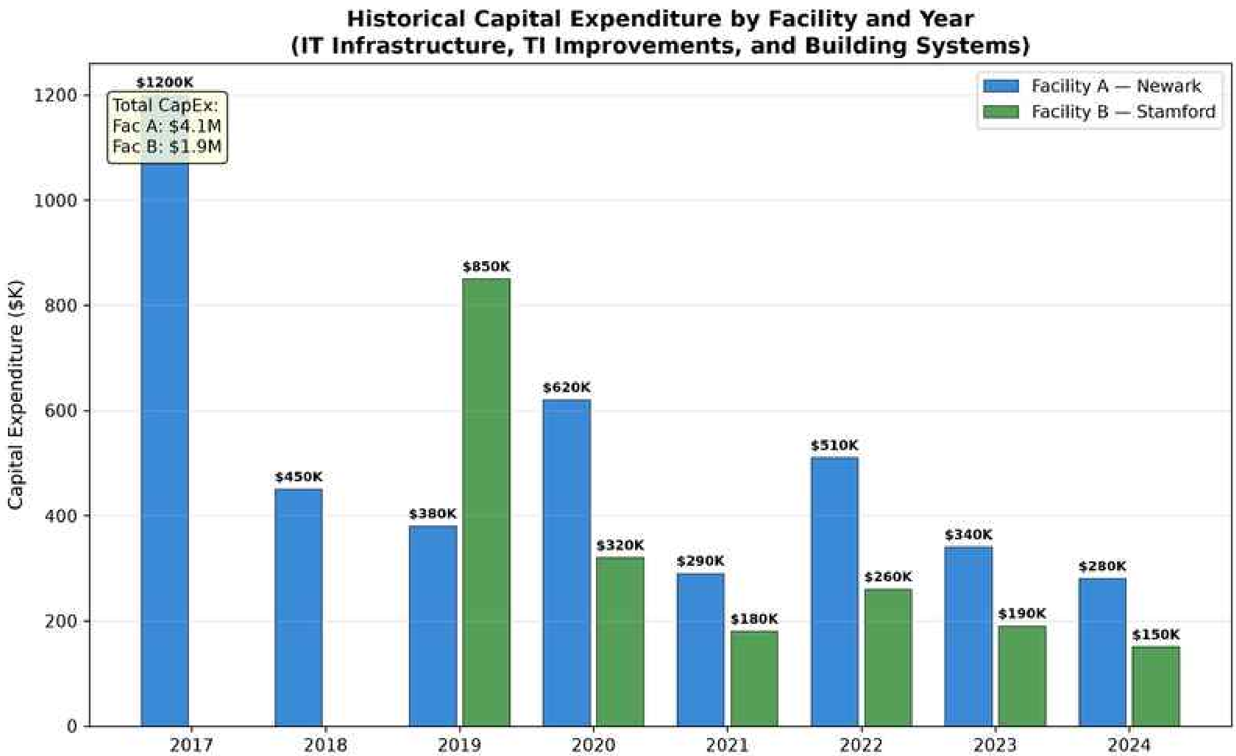

Exhibit 5: Monthly Power Rate — Contract vs. Actual

Comparison of contractual power rates against actual effective rates including demand charges and power factor surcharges. Summer months show significant rate increases due to peak demand periods, driving the blended rate above the contract base rate.

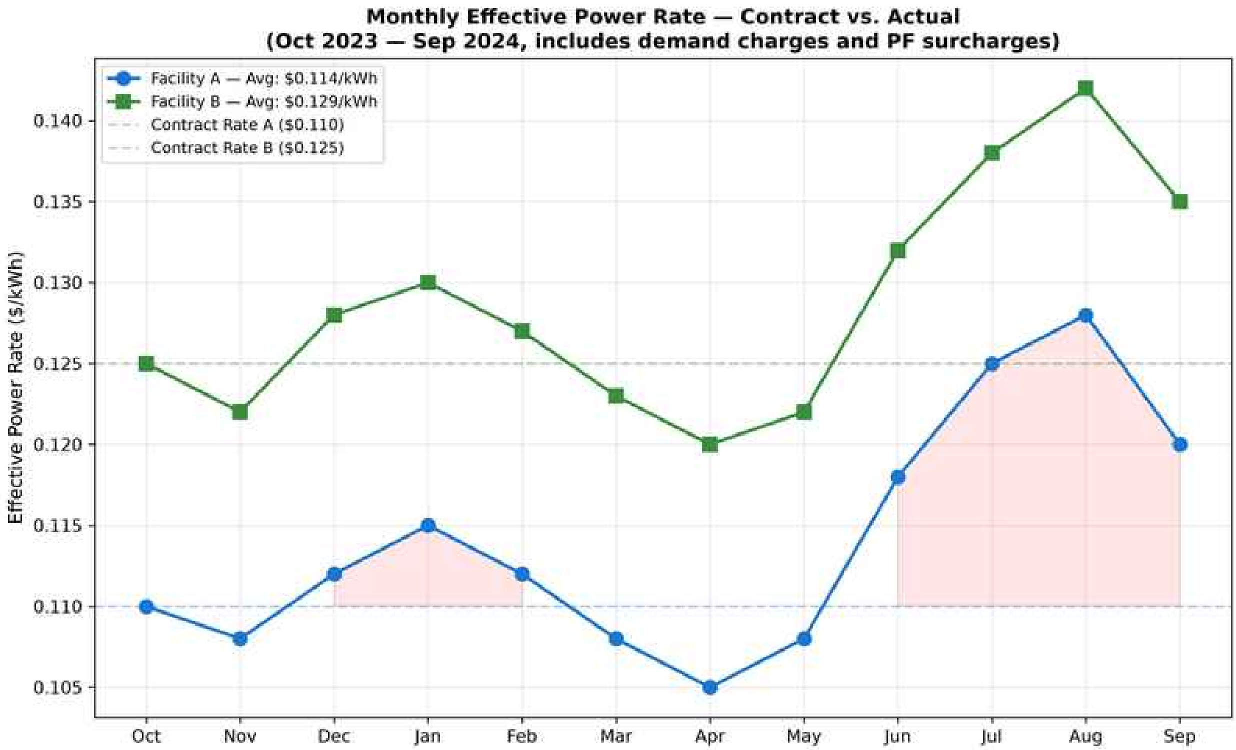

Exhibit 6: Space Utilization Analysis

Breakdown of floor space allocation by function for both facilities, showing active IT equipment footprint, staging areas, network distribution, vacant space, and office/support areas.